

it will definitely cross that price in the foreseeable future because there are smart people who bought the stock at its peak.

The rebound in the Sensex to 5,500 turned out to be short-lived. By the end of April, it again sank to 4,500, and by the last week of May, slumped below 4,000.

Many retail clients defaulted, causing losses to the brokers who had to honour the trades with the stock exchange, whether or not their clients paid. Brokers had only themselves to blame for not collecting adequate margins and for allowing clients to take up positions without bothering to check if they could pay up when the chips were down. Any investor you spoke to in those days would invariably say these words, 'If only I had . . . ' at some point during the conversation.

'Indiscipline has cost even the best of traders a lot of money,' GB told me when I visited his office one evening. 'And I can say that because I handle their trades. But to be fair, nobody has seen a rally like this before. They became too comfortable as prices kept rising. Any professional trader will have a price target at which he must take his profit and another target at which he must cut his loss. In the past, these operators would stick to their targets on the upside and downside, no matter what.'

But this time, they felt it would not hurt if prices fell some more because their average cost of purchase was quite low. Once overconfidence creeps in, it creates room for indiscipline, and bigger errors of judgement follow. Because of the large positions they carry, they have to time their exit well. Theoretically, it may have looked safe to hold on to their positions and even buy some more when prices began to weaken. But their experience should have told them that if prices fell further, there would be many weak sellers at lower levels, all looking to exit at the same time. That would make it difficult to unload large positions without breaking the price.'

The Sensex showed some signs of stabilizing in June, when it ranged between 4,300 and 4,800. In the first week of July, it again topped 5,000, raising hopes that the bull market was still alive. But that turned out to be a false dawn. ICE stocks continued to melt as fund managers and retail investors tried to salvage whatever they could of their paper wealth. By now, most of them had reconciled to the bitter truth that the technology party was well and truly over. In February, you were seeing prices that nobody could have ever imagined, and just a few months later, you were